

the rank of the result shown in the table says that this double top is in the top third of the list: 11 out of 36. That's quite good.

[Table 31.3](#) shows failure rates. One in five trades (21%) will see price fail to drop more than 5% after the breakout. That rate doubles to 43% for patterns failing to drop more than 10%. Is it any wonder that I no longer fear seeing a double top?

Keep this table in mind if you decide to short a stock. The decline may be less than you think. If you own a stock, check this table for the likely decline. Is it worth holding onto the stock and weathering the decline? Only you can answer that.

[Table 31.4](#) shows breakout-related statistics.

Breakout direction. By definition, the breakout is downward. As you know, a breakout occurs when price closes below the lowest valley between the two tops. If price closes above the top of the pattern first, then you don't have a valid double top.

Yearly position, performance. Price drops farthest if the breakout is within a third of the yearly low. Avoid those with breakouts near the yearly high. Although that may sound strange, shorting a stock making new highs can be a disaster. You want to hunt down weak situations in stocks making new lows.

Pullbacks. Pullbacks occur almost twice every three times. When they do occur, price takes 12 days to complete the journey back to the breakout price. However, a pullback hurts performance.

For example, double tops with pullbacks declined 15%. Without pullbacks, price declined 17%. This finding suggests you should search for underlying support before investing. If you are considering shorting the stock and the decline stops in the support zone, would that warrant the risk of a trade?

Price resumes the downward trend just over half the time.

Gaps. The appearance of a breakout day gap suggests better performance, but not so you'd notice.

[Table 31.5](#) shows pattern size statistics.